



IN A NUTSHELL

**THERE ARE
45 MUTUAL
FUND PLAYERS
IN INDIA**

**A FEW MORE FUNDS
ARE LOOKING TO
TO ENTER THE MF
ARENA**

**THE AUM-TO-GDP
RATIO IN INDIA IS
35%, COMPARED
WITH AROUND
100% IN THE US**

**THERE ARE
14 FUND HOUSES
WITH AN AUM
OF OVER ₹1 LAKH
CRORE EACH**

**MUTUAL FUND
AUM HAS GROWN
5X IN THE LAST
NINE YEARS**

**THE NUMBER OF
UNIQUE MF
INVESTORS IS STILL
JUST 42 MILLION**

₹50.78 LAKH CRORE
**THE TOTAL AUM OF MUTUAL FUNDS
IN INDIA (AS ON DECEMBER 31, 2023)**

| 91

THOUGH THE SPACE may seem to have become saturated for the casual observer, fund houses like to point out that the numbers are on a larger scale in developed countries. “The Indian mutual fund industry has around 40–45 fund houses, but if you look at the West, there are 200+ asset managers,” says Ruchi Pandey, CEO of Old Bridge Mutual Fund, which recently announced its maiden fund launch.

During the launch of the fund, Pandey said that such is the size of the overall savings pool that any new entrant just adds to the MF cause. Indeed, because mutual fund penetration is abysmal, to say the least, most fund houses are looking to both attract millions of new investors and, in turn, give a push to their own businesses and the industry’s overall AUM growth.

“The main objective we want to work towards is financial inclusion because we think that penetration level at this time is still limited with just 40 million unique PAN folios in a population of 1.4 billion,” says Vishal Jain, CEO of Zerodha Mutual Fund.

He says the question now is how to get the next 100 million investors to put their money into mutual fund products. “We are coming to the market with that focus. Our belief is that you can hit the number if you start looking at each of the small things and start solving that,” adds Jain, whose fund house has adopted a completely passive approach.

Passive funds seek to replicate the benchmark index, and there is no active buying or selling by a fund manager. Passive funds typically have a lower cost structure compared with active ones.

Another data point that industry players love to highlight is the total AUM as a percentage of the country’s gross domestic product, or GDP. At current levels, the number is pegged around 35%—which is significantly lower when compared to some of the other leading markets like the US, where it hovers around 100%. Incidentally, the Indian tally would be far lower if only the equity component was considered.

As of December 31, 2023, the total AUM of the MF indus-